4.1.2 Individual economic decision making

4.1.2.1 Consumer behaviour

Content	Additional information
• Rational economic decision making and economic incentives. • Utility theory: total and marginal utility, and the hypothesis of diminishing marginal utility. • Utility maximisation. • The importance of the margin when making choices.	Students should appreciate that the hypothesis of diminishing marginal utility supports a downward sloping demand curve but they are **not** expected to understand the principle of equi-marginal utility or to use this principle to explain why there is likely to be an inverse relationship between price and quantity demanded.

4.1.2.2 Imperfect information

Content	Additional information
• The importance of information for decision making. • The significance of asymmetric information.	Students should recognise that imperfect information makes it difficult for economic agents to make rational decisions and is a potential source of market failure.

4.1.2.3 Aspects of behavioural economic theory

Content	Additional information
• Bounded rationality and bounded self-control. • Biases in decision making: rules of thumb, anchoring, availability and social norms. • The importance of altruism and perceptions of fairness.	Students should appreciate that behavioural economists question the assumption of traditional economic theory that individuals are rational decision makers who endeavour to maximise their utility. They should understand some of the reasons why an individual's economic decisions may be biased.

4.1.2.4 Behavioural economics and economic policy

Content	Additional information
• Choice architecture and framing. • Nudges. • Default choices, restricted choice and mandated choice.	Students should appreciate that insights provided by behavioural economists can help governments and other agencies influence economic decision making.